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3. How Organizations Socialize Individuals into Evildoing¹

John M. Darley

JOHN M. DARLEY (1938–2018) addresses the gist of the clichéd claim that business ethics is an oxymoron, as well as the recognition that once individuals cross the firm's physical threshold, many of their ethics are left behind. Darley draws from fields within the social sciences, especially psychology, to explain how employees are drawn into participation in harmful corporate actions and, in so doing, are changed into evil people. Darley's focus is on corporate crime, which he defines as "crime perpetrated by an organization against either the general public, that segment of the public that uses the organization's products, or the organization's own workers." After such a harm is found to exist, and a worker engages in any form of cover-up or maintaining those harmful practices, he argues that the worker crosses over into evildoing. This can be explained partially by the "momentum" an action takes on. Darley explains that once any action is undertaken, such as a firm's commitment to manufacture a product, it takes an unusual amount of energy to stop that action, even though there is clear intent and people continue to be harmed. Further, once a process has begun, the burden of proof as to why an action should be changed, even if there is serious evidence that the product is harmful, is placed on the challenger to the action.

WHEN MEMBERS OF OUR culture think of acts of doing harm, we tend to think of an individual harm-doer who lies behind these acts, an evil individual who seeks out others and acts on them in evil ways. Perhaps our canonical image is that of a serial murderer, who moves among us, hidden behind the mask of normality, destroying the innocent. Contrary to cultural stereotypes, however, most harmful actions are not committed by palpably evil actors carrying out solitary actions. Instead, the typical evil action is inflicted on victims by individuals acting within an organizational context. Indeed, it may be difficult to identify

the individual who perpetrates the evil; the harm may seem to be an organizational product that bears no clear stamp of any individual actor. Further, if we look within the organization and identify the individual who seems most closely connected with the harm—for instance, the foreman who orders the workers down the dangerous mine shaft or the corporate executive who orders the marketing of an unsafe drug—we do not find an individual whom we recognize as evil but someone who looks rather like us. We encounter again what Hannah Arendt (1963) found so striking about the Nazi mass murderer Adolph Eichmann,

the banality and ordinariness of an individual whom we expected to be demonic. But that person has been changed; through participation in the organization, the individual has undergone a conversion process and become an autonomous participant in harmful actions.

... many evil actions are not the volitional products of individual evildoers but rather essentially organizational products that result when complex social forces interact to cause individuals to commit multiple acts of terrible harm. In that process, the individuals committing the harm are themselves changed. They become evil, although they still do not show the demonic properties that are suggested by our conventional views of evil.

The realization that the specific social forces that alter individuals are produced in organizations raises several questions. What sorts of organizations enlist their members in doing harm? How do the organizational forces work to produce harmful actions? How does the sustained application of those forces alter the character of those individuals caught up in the harmful activities? ...

In recent years, a number of books have appeared whose authors are concerned with what they call "corporate crime." For many years "white-collar crime" has been the subject of study, but that category was found to blur the distinctions among what proved to be several quite different kinds of crime. White-collar crime was initially analyzed as crimes committed by workers or executives against their firms. Gradually, a second class of crime has come to be noticed. Corporate crime is crime perpetrated by an organization against either the general public, that segment of the public that uses the organization's products, or the organization's own workers. A generally accepted definition of corporate crime, proposed by Marshall Clinard, is "a form of collective rule breaking in order to achieve the organizational goals." Clinard, a seminal

figure in the field, encases a critical realization in this definition, the recognition that some crimes are committed because they fulfill an organization's goals.²

Examples of all kinds of organizational crimes are easy to find. Recall the design of the Ford Pinto, sold for years by a company in which many executives were aware that it had a gas tank likely to rupture in low-speed rear-end crashes and incinerate its passengers (Dowie 1987). Consider the Robins Corporation, marketing a contraceptive product that it knew caused disastrous medical consequences to many who used it (Mintz 1985; Perry and Dawson 1985). Recall Watergate or the Iran-Contra affair. Consider the silence of Morton Thiokol executives who were aware of the dangers to the space shuttle O-rings at low launch temperatures (Kramer 1992). Consider any number of defense contractors who have delivered military weapons systems to the Defense Department with faked safety and effectiveness tests and substandard internal electronic components (Vandivier 1987). Recall the suppression of the growing evidence about numerous design flaws in the nuclear reactors used to generate electricity in this country (Faulkner 1987).

There are also numerous examples of organizations that harm their workers. Think about executives who continued to have shipyard workers work with asbestos long after its carcinogenic properties were known to the officials, or government bureaucrats who kept uranium miners at work long after the dangers of that occupation were known to the bureaucrats. Think of miners with black lung disease or cotton mill workers with brown lung disease.

Nor do we lack examples of organizations' inflicting harm on large segments of the general public. Our government's atomic bomb tests in Nevada rained radioactivity on all citizens downwind of the test sites. Matt

Tallmer (1987) details the incredible chemical dumping practices of the Hooker Chemical Corporation, the perpetrator of the Love Canal disaster, which have left a trail of illegal poisonous chemical waste in ground water sources from Long Island to California. The Allied Chemical Company, manufacturers of Kepone, a substance known to be toxic, set up a dummy corporation as an "independent contractor" to continue the manufacture of it; the dust from the plant obscured the sight of the plant from those members of the public unlucky enough to be nearby. Eventually, one hundred miles of fisheries on the James River had to be closed because of concentrations of Kepone in the fish. Interestingly, another organization—the city of Hopewell, in which the plant was located—was so obviously complicit in hiding the damages caused by the chemical that it received fines as well.

What this list demonstrates is that many corporations have inflicted serious harm on either the general public, consumers of the products that they manufacture, or the workers engaged in the manufacture of those products. I will return later in the chapter to the question of whether these organizations are in some identifiable way "rogue organizations" or whether these patterns of doing harm are somehow latent in all organizations. First, however, it is important to examine the mechanisms by which organizations—conglomerates of individuals—come to inflict harm on the public, consumers, and workers.

How Individuals Are Drawn into Doing Harm

Analyzing evildoing in organizations and the ways in which organizations cause individuals to do evil requires a number of constructs that can be drawn from various fields of social science. Within organizations, processes leading to both the *diffusion of information* and the *diffusion and fragmentation of responsibility* are

common. Barry Staw's (Staw and Ross 1987) notion of *sunk costs* is also necessary; organizations get committed to courses of action, and the individuals who generated those courses of action are reluctant or unwilling to change them, even when others would see the need for change. Many decisions prove to have *implicit ethical components* that are hidden at the moment of decision, arising only later, after decisions are made. Finally, there are *concrete decision options* that face various individuals in the organization, as it continues the course of doing harm even after some of the ethical issues become clear. These decision options generally are presented within the context of a hierarchically structured organization, business or governmental, *on which people are dependent for their livelihoods*. Following orders, within some ill-defined sphere of activities, is legitimated, and failure to follow orders may put one's livelihood at risk.

Diffusion and Fragmentation of Information and Responsibility

The processes of diffusion and fragmentation of information and diffusion and fragmentation of responsibility often go together, but they can be separated analytically. When it is discovered that a product that has been designed, manufactured, advertised, and sold is harmful to its consumers, there is often a long period during which the evidence of harm accumulates. This knowledge that the product is potentially or actually harmful may come into various divisions of the organization but remain in an unassembled state, because those divisions are not in perfect communication with each other on issues of harm. The organization has all the information needed to draw the inference of harm, but because the information is not pulled together and put in front of a competent individual, the organization can be said not to know that the product

is harmful.³ And, of course, responsibility requires knowledge. If I do not know that harm is risked, then I am not responsible for preventing that harm.*

The Dalkon Shield case (Mintz 1985; Perry and Dawson 1985) provides a clear illustration of the compartmentalization of information within a corporation. The Dalkon Shield was an intrauterine contraceptive device, manufactured and aggressively sold by the Robins Company, that proved to be potentially dangerous to women who used it. One of the product's many dangers was a "string" attached to it, actually a bundle of plastic fibers enclosed by a sheath, that was designed to facilitate removal. If the sheath was perforated, the string drew bacteria into the uterus, causing sometimes life-threatening infections.

Because of successful sales efforts, more shields needed to be manufactured, and the company assigned production to a subsidiary plant, the ChapStick plant. The quality control supervisor of that plant, on his own initiative, "examined under a microscope samples of Shields ready to be shipped from the ChapStick plant. He found tiny holes through which body fluids from the vagina could escape into the sterile uterus if wicked up the string" (Perry and Dawson 1985, 81). This information apparently did not get to the relevant medical personnel, however, so that when reports of infections from Shield users began to come in from doctors who had implanted the Shield, the medical personnel initially did not connect these infections with the infection-transmission path documented by the person in the manufacturing arm of the subsidiary. Different elements of relevant information, coming in via different organizational components that are not tightly connected to each other in communication networks, often do not reach the relevant decision makers. Those who make decisions are often walled off from information that is vital

to good decision making.

Another example of this failure of communication occurred in the months prior to the space shuttle Challenger disaster. NASA test engineers at the Marshall Space Flight Center wrote a series of memos expressing concerns about potential failures in the pressure seal system, but the project manager did not pass these memos on to the Morton Thiokol engineers (Kramer 1992).

It may seem somewhat naive to cite these examples as cases of an organization's simply "not knowing" of harm their product causes, and with good reason. If a product is producing a profit for the corporation, then one can see a great advantage in the corporation's "not knowing" that the product is dangerous when it in fact knows it full well. Later in the chapter several cases will be considered in which individuals moved to preserve what we might call "strategic ignorance," both for themselves and for the corporation, and the corporate structure was organized to facilitate that claim.⁴

Diffusion of responsibility is another source of organizational harmdoing. Who has responsibility for actions that are seen to cause harm? And what kinds of responsibilities can be said to exist? It has been said that success has a million parents, but failure is an orphan. Assume that an organization has produced and marketed a drug that is later found to have terrible side effects—thalidomide or DES, for instance. One unit can develop a drug and assume that it will be tested for side effects. Another unit can arrange for it to be marketed, assuming that those safety checks have been completed. Those who have actually carried out the tests of the drug may be aware that their tests were incapable of determining side effects with any sort of precision. (In the case of DES, for instance, a drug given to pregnant women to reduce nausea during pregnancy, it was only many years later that

the drug was discovered to produce long-term negative effects, including increased likelihood of cancer, among young women who had been in utero when their mothers were taking the drug.) No individual intentionally brought about these side effects. More to the point, it is difficult to identify exactly who within the organization was responsible for allowing the mistake to happen. This fact seems to become recognized in those few cases in which members of organizations are put on trial for the consequences of their actions; rarely are any specific individuals found criminally liable.

Responsibility not only diffuses but also fragments. Within a hierarchical organization, an individual's responsibility is defined by the duties that accrue to that person's position within the organization. If, for example, my role is to receive reports of drug trials being carried out at remote sites in one region, my responsibility may be to summarize and integrate those results and pass them to somebody else, to be merged with reports from other regions. I may know enough to know that one or two reports from my region could point toward worrying side effects, but I do not know if the reports from other regions confirm them. "I have done my duty" if I just flag my worries as I pass the reports along.

One more fact about information flow and individual responsibility is worth noticing. Information about product dangers, as opposed to information about product sales, markets, and profits, is generally "abnormal" information, and the mechanisms for its analysis are not well developed. One can anticipate that it will be collected in less-organized ways, and responsibilities for its analysis will be assigned in less well considered ways.⁵

In organizations, persons are sometimes assigned formal responsibilities for safety monitoring, but are more informally

instructed to disregard those responsibilities, or simply learn to disregard them under time demands to complete other activities more directly connected with production. Following a methane explosion that killed twenty-five miners, it was discovered that, although it was formally part of the foreman's responsibilities to test the methane concentration in the shaft, he had long since been socialized not to make the tests and to fake the record entries about them (Caudill 1987).

In the pressure of the moment, definitions of responsibility are often renegotiated downward to accommodate those pressures. During the fateful conference between Morton Thiokol (MTI) engineers and officials and NASA officials, MTI initially recommended that the shuttle Challenger not be launched because of the possible effects of the cold launch temperatures on the O-ring seals. NASA officials would not launch with this recommendation on record but pressured MTI to reverse its recommendations. The MTI management people caucused. One MTI official said that "a management decision was required" (Kramer 1992, 232). One of the MTI engineers was told "to take off his engineering hat and put on his manager's hat" (p. 232), apparently in an attempt to recast the engineers' definitions of their responsibility to the MTI managers; they were to elevate themselves above their own engineering knowledge and function as compromising decision makers.

The reframing also gave the MTI engineers only a reporting responsibility. The two MTI engineers fought their way back into the discussion, arguing not to launch, but were overridden; the MTI executives decided the "data were, indeed, inconclusive, and that they would now recommend that the launch proceed" (Kramer 1992, 232-33). Roger Boisjoly, one of the engineers, summarized the way that the decision was finally framed by the meeting: "This was a meeting where the determination

was to launch, and it was up to us to prove beyond a shadow of a doubt that it was not safe to do so. This is the total reverse to what the usual is ... in a pre-flight review" (quoted in Kramer, p. 233). Thus the task of the engineers was to prove the launch would fail, and it was the responsibility of the MTI executives to allow launch unless that proof was conclusive.

This last move illustrates a critically important maneuver in the reframing of responsibility. In our culture we have a decision rule that might be called "innocent until proven guilty." The chance for some motivated creativity in the application of this rule arises in identifying which of the decision options counts as "innocent" and which as "guilty." In real-life decision cases, people skilled at framing can claim that the burden of proof falls on those arguing for a decision other than the one proposed. In this instance, "launch" was more or less forcibly equated with "innocent," the option to be chosen unless it could be proven wrong beyond all possible doubt. The standard framing of the launch decision was not to launch unless the engineers were convinced that the launch was safe, but the NASA officials reversed this framing. The launch was going to happen unless the engineers could prove that it would fail. They couldn't prove that it would fail, so they launched, and the launch failed. One is reminded of the Clarence Thomas-Anita Hill hearings, in which the issue was cast as requiring a vote for Thomas's appointment to the Supreme Court unless Hill's allegations could be proved true. Conservatives on the panel framed the hearing task as a court case; either Thomas could be proved guilty or he was "innocent" and therefore, by an odd twist of reasoning, entitled to a position on the Supreme Court.

The assignment of the burden of proof is a very powerful manipulation of decision rules, and one that is more malleable than is widely

recognized. Kramer and Messick (chapter 3 [in original volume]) suggest that everyone is able to adopt the perspective of the "intuitive lawyer," trained to muster sincerely all the arguments for one point of view.

Take this a step further. Sometimes the burden of proof is a genuine burden in both time and costs. If one organization produces a product, it accrues the profits from that product. If we require that a second organization prove that the product is unsafe, where does that second organization acquire the resources to carry out the relevant tests? Do government agencies assume that burden? If so, profits remain with the producer, while certain of the costs that might be associated with the product fall on the public. Further, general reductions in government resources may remove the resources necessary to conduct those tests.

To summarize, the information that a product or an act is potentially harmful may exist within the organization in an unassembled form, so that the decision makers are unaware of the potential harm. Those who report to the decision makers may be very aware of the possibilities of harm, but feel that they have fulfilled their responsibilities by providing information to the decision makers from which the possibilities of harm might be inferred by careful analysis. Further, the framing of the decision is important. To halt ongoing processes because of potential future harms requires an action, a decision, while allowing the continuation of normal processes requires no action. Thus, the decision to intervene is often framed as requiring clear and overwhelming evidence before it is taken, while the original construction, that processes should not go forward, or products should not be produced, unless their safety is assured, is lost.

It is important to see how these processes, each of which can work independently to produce harm, can also work together to magnify

the possibilities of harm. If evidence of potential harm is unassembled and fragmented, and if those who feel that it might occur are not responsible for making that point, then the evidence of potential harm will rarely rise to a level of conclusiveness to convince those caught up in the pressure to continue with normal activities to suspend those activities because of the possibility of dimly perceived, poorly documented, harms.

One further point needs to be made. Because these processes so naturally occur within any organization, it is possible to set up conditions that promote their occurrence and create an organization "optimized" for the denial of the harms that are done. We will consider examples of this later....

Abstract Harm and Tangible Gains

In many organizational settings in which an action is taken that will ultimately result in harm to others, there is initially no overt target of the actions committed, no salient other human who is seen to be a victim of the action. The person who decides to let the assembly line use substandard cord in the fabrication of radial tires is not thinking of the accidents that the decision could cause but simply keeping the assembly line moving. "Product safety" at this point is an abstract concern standing in the way of the all-important goal of production. If one examines the steps from product design to the eventual emergence of that product from the assembly line into the marketing organization, there are remarkably few times that the question of the effects of the product on the consumer is raised. Instead, competing issues involving product conceptualization, profits, and fulfillment of production standards are generated and dominate the analysis....

To summarize, a number of frameworks generated by requirements of the

manufacturing process and the need to have that process run on time, efficiently, and at low cost dominate the analysis of those who are building and even designing a product. The end user of the product is not represented or is represented only in the limited role of "consumer." Since a good many of the forces that cause people to avoid doing harm to others rely on the salient presence of specific or specifically imagined victims, if such victims are not present then restraining forces are considerably weakened. "These opposing forces rest ultimately on the actor's awareness that he or she is connected to a victim," as Herbert Kelman and Lee Hamilton remark in their perceptive way (1989, p. 313). Individuals within the organization can lose sight of the fact that people may be harmed in the course of fulfilling the other goals of the corporation or bureaucracy.

All the factors that I cite can be combined in powerful ways. When members of an organization do see potential dangers to workers or customers that might result if certain decisions taken by the organization are put into effect, then those who advocate different decisions are often given the heavy burden of proof discussed earlier.

In most organizations, it is legitimate to give orders, and the cost of disobeying those orders may be loss of one's livelihood. If, therefore, the organization orders—or is seen as ordering—certain actions in furtherance of the production of dangerous products, those involved face some extremely difficult decisions. The Dalkon Shield case provides us with a specific example (Perry and Dawson 1985). At the time that production was begun in the ChapStick plant, the product had previously been manufactured at other plants and widely marketed, and the company was already aware of several safety concerns about the Shield and deep in the process of denial and fabrication. Crowder, the quality control

supervisor of the ChapStick plant, reported his concerns about wicking to his superior, Ross, and did not get a satisfactory response. He then did a series of experiments proving that the string would wick water—and thus, by inference, bacteria—up into the bodies of women users and reported the results of these experiments to his superiors.

Ross was anything but pleased. He angrily reminded Crowder that the string was not Crowder's responsibility and that he should leave it alone. Crowder told Ross that he could not, in good conscience, keep quiet about something that he felt could cause infection in the women who wore the Shield. "Your conscience doesn't pay your salary," Crowder says Ross replied. Ross also told Crowder that he was being insubordinate for pursuing this matter; if he valued his job he would do as he was told and forget about the string.

Note the psychology of the presentation of the issue to Crowder; although done with a certain crudeness, it was not atypical. First, he was giving Crowder an order. Second, he was offering Crowder a framing of the whole matter as "not his responsibility" along with a threat of job loss to induce him to accept that framing. We will see this threat and framing maneuver in play again, although done with more sophistication; it is quite commonly used in organizations.

Not many respond to it as Crowder did, however. He continued to protest, carried his protests higher up, had them rebuffed, and was finally "let go" in a corporate reorganization some years later. He is a genuine hero, and his heroism cost him his job. Those looking at what happens to whistle-blowers—individuals who report their concerns to outside groups—report similar fates.

Notice I said that if the superiors in the

corporation are *seen as* ordering the continuation of a certain course of action, subordinates may feel compelled to fall in with that course of action. In a corporation, to wait to do something until one is ordered to do so can be thought of as a failure of initiative, or worse, a desire to put the superior on the spot. Many subordinates, in those circumstances, can be expected to intuit what orders they would be given and "follow them in advance." One suspects that this is what happened in the Pinto case; the subordinates intuited Iacocca's response to the possibility of fuel tank disasters and rolled straight ahead. An obvious point follows: This process gives the superiors the chance to deny ultimate responsibility for the product or harm while continuing to exert pressure for the harm to continue. Management by objectives, if those objectives largely involve making profits, has a good deal to answer for.

Many organizations have in place some form of corporate code, which generally includes both ethical strictures and references to "fair play" and a "superior product for customers." They also have in place incentive and bonus schemes, competition between various sales forces, promotions based on winning those competitions, and so on. Corporate workers are going to pay particular attention to what happens when those two aspects of corporate culture clash.

Several years ago, the Xerox Corporation, apparently pleased with its new articulation of its corporate code, gave permission for a reporter to observe one of its sales groups in action, no doubt expecting a glowing report on its system. Instead, the reporter (Dorsey 1994) demonstrated how the intense pressures for profits caused the sales force to push their customers to buy machines of far greater capabilities than the customers needed—or often could pay for. They succeeded, it seems, by telling customers about the Xerox Company

code, convincing them that the existence of the code somehow ensured that their recommendations of oversized and expensive machines were in the customers' best interest. Corporations that put in place a corporate ethics code and do not consider its relationship to existing corporate practices and bonus and promotion systems seem to me to be engaging in window dressing of a particularly cynical sort. Specifically, unless decisions are made that elevate the ethics code over the profit and promotion system, such codes are empty. And in the end, the corporate structure that promulgated the code loses creditability, and its further pronouncements, in the unlikely event they are sincerely intended, will be ignored.

The Time Course of Decision Making: Hindsight and Cover-Ups

Let us assume that, suddenly and dramatically, it is discovered that the actions of a corporation have already harmed large classes of others. It is now realized that given certain actions of the organization, harmful outcomes are inevitable. Pintos are actually rear-ended, gas tanks actually catch on fire, and actual passengers are horribly killed. Memos exist within the corporation in which design engineers warn about exactly these possibilities. To an outsider observing the situation, it seems apparent that those in the organization must have been aware of the risks of harm, and thus somewhere there must be evil individuals who have knowingly brought about that harm.⁶ And sometimes this is true. There are such evil people. One thinks of the bosses of the Film Recovery System Corporation, which recovered precious metals using processes that involved highly dangerous chemicals, taking almost no safety precautions to shield the workers from the effects of these chemicals, and hiring illegal immigrants who

spoke little English so they would not understand what was happening or be able to reveal it to others (Frank 1987).

Let us consider a more charitable scenario, that the negative outcomes simply could not have been anticipated; an unexpected side effect of a drug might be an example. Or, more likely, let us say that some evidence existed calling attention to the negative outcomes but that this evidence was not given sufficient attention within the organization. The Pinto case is a perfect example. The people within the organization were focusing on other organizational goals and, because they were "negligent, hurried, sloppy, or overworked" (Kelman and Hamilton 1989, 312), missed the meanings of the danger signals. They were also subject to the interpersonal processes we have considered involving breakdowns of communications and diffusion of responsibility.

However it comes about, harmful actions have been committed, and now the individuals who had some responsibility for those actions have become aware of those consequences. There are several psychological points to be made here. First, the decisions that now face organizational decision makers are not clean ones: they do not offer perfectly positive outcomes and typically involve choosing the least bad option. All too often, the organization does not have the choice of not embarking on a course of action that will cause harm; it has already done so, and some people actually have been harmed. Thus some guilt and liability have already been incurred. The decision makers may have been implicated in decisions that will now be seen as, at best, ill-considered; even if they are not, others to whom they owe loyalties may be implicated.

The role of the well-known hindsight bias here is likely to be destructive. In the classic demonstration of hindsight, an observer to

a series of events consistently finds the actual outcome of the events as having been more probable than it was in fact (Fischhoff 1975). It is as if the observer is saying, "Well, of course that was going to happen. I could see it from the beginning." To those responsible for corporate disasters, as to the outside observers, it must seem that the disastrous outcomes were foreseeable once evidence for the disasters has accumulated. Some rather bizarre dynamics ensue. If the organizational decision makers admit, to themselves and others, that harmful outcomes are actually occurring in the present, then because it will seem to them that these outcomes were foreseeable, they will feel culpable for "knowingly" allowing them to happen. And they will certainly feel that others will think the negative consequences were foreseeable and condemn them for allowing them to occur. This dynamic creates a strong pressure for the decision makers to deny that the harmful outcomes are genuine, or genuinely caused by the product in question.

This denial by the higher-ups in the organization may cause subordinates, who are more concretely faced with the evidence of harms, to interpret that denial as a tacit instruction to lie about the existence of those harms or minimize the role of the organizational action in producing them. As the reader will recognize, this begins the process of "the cover-up," a frequent occurrence in organizational harm-doing, and one whose dynamics we may be able to illuminate here.

Certainly organizational case studies give us an enormous number of examples of corporations attempting to cover up harm-doing. Three things strike me about cover-ups. First, they are highly unlikely to succeed. The evidence has become so clear about the harmfulness of the product, and so many people within the organization know about it, that it will surely leak out. Second, cover-ups themselves frequently provide conclusive

evidence of the wrongfulness of the actions taken in the first place. So for a company to engage in cover-ups—cover-ups that are also likely to get detected—is a further and more foolish error. Third, because these first two points are true, we can infer that when individuals engage in cover-ups, there is a great deal of pressure on them to do so. Standardly, this pressure is thought to come from fear of negative publicity, possibly leading to job loss or civil or criminal penalties. But we can see how it could also stem from an initial shocked denial on the part of the organizational decision makers, that they were the sort of persons who would bring about disastrous harm to others—a denial aimed at maintaining their own image of self, although quickly coupled with concerns for the more standard consequences as well.⁷

To my mind, this is a critical point in the destruction of the ethical character of those decision makers. The cover-up is now engaged in consciously and deliberately. Covering up past evidence is also likely to lead to maintaining the current practices that have brought about the harms, at least for as long as the cover-up is successful. It is at this point that I think that this organizational actor becomes evil, becomes an independent perpetrator of further negative acts that are now knowingly done. When, for example, individuals in corporations discovered that the asbestos used by its workers was leading to a high rate of cases of lung cancer, they sometimes chose to conceal that fact, perhaps because they were concerned with all the factors we have discussed and the liabilities they would incur if they revealed that information. But they also continued having the workers work in what they now knew were dangerous settings. They now were doing intentionally what they had previously done unknowingly.

As cover-ups continue, other processes of concealment are likely to be necessary, even

ones that were perhaps not contemplated by the organizational actor at the moment of choice between acknowledging and denying the harms done. The evidence of previous harms had better disappear. Those in the organization who might discover the previous harms had better be hindered or muzzled. Meetings have to be held to rehearse the next set of lies to be told. All the participants have to get their stories straight. A number of repugnant moral actions are found to be required following the initial decision to conceal the initial harm.

What has been described here, I claim, is a very important way in which an individual can be caught up in a harmful process and altered by it. Whatever else might be said about the Nazi doctor who stood on the selection ramp, designating those who would live and those who would die, he knew that was what he was doing. But often an individual within an organization carries out what seem to be routine actions but later turn out to have negative consequences that in retrospect seem to have been foreseeable. Whether that person denies the negativity of the consequences, denies the responsibility for those consequences, or conceals those consequences and becomes meshed in a widening circle of actions necessary to continue the concealment, he or she has become an independent and autonomous perpetuator of the harms done. That person has become evil. What is important to see here is that the process is an after-the-fact one, in which the person faces not the prospective choice to do harm but the retrospective choice to acknowledge that his or her actions have already done harm. The more it becomes clear that those harms should have been foreseen, the more guilt, shame, and blame are acquired in the acknowledgment of past harms. But often failing to acknowledge past harms means continuing to commit those harms in the present....

All corporations, because of their emphasis on corporate profitability, and because of the complex interactional forces that I have documented, have the potential to drift into harm-doing, with the corrupting forces I have described leading to a continuation of those actions rather than a halting of them.

Corporate Socialization and the Reproduction of Corruption

Like other innovations, innovations of corrupt practices spread. The question of how corrupt organizations reproduce themselves and grow in size is quite easy to answer. Organizations such as the ones involved in the Nazi death camps have not one but two outputs. They produce death, and they produce individuals who become autonomously capable of and committed to producing other deaths. The evil individuals they produce become available for the reproduction of the evil organization. Concretely, SS officers and soldiers who first murdered civilians on the eastern front could be used to staff the concentration camps and initiate and socialize other individuals into the new organizations. Older soldiers in the U.S. Army in Vietnam made clear to the new inductees how the war was really to be fought. On the trading floor of Salomon Brothers, cohorts of new recruits were reliably socialized into patterns of betrayal of customers' interests.

Let us examine how corporations come to the perception of their customers as fools to whom no moral obligations are owed. Michael Lewis (1989) provides a richly detailed description of how those joining the stock brokerage firm of Salomon Brothers were socialized into regarding their customers as sheep to be fleeced. A good many customers' lives were destroyed in the process, as his book reveals. In one incident described by Lewis, he sold a customer a bond that somebody within his brokerage

house advised him was a good bond to sell. The bond fell, taking the customer down with it, and Lewis learned that it was indeed "a good bond to *sell*"; the brokerage house held a large inventory on it and had inside information that it was going to fall. The firm therefore moved the bonds out of inventory onto customers, letting the customers take the ensuing loss, to the delight of the brokerage house. Lewis left the firm, but the socialization process that he has described corrupted many others. Of course, it was intended to. As Lewis's book makes clear, the firm's managers were willing participants in the corruption and made calculated efforts to corrupt the lower-level staff. For example, higher commissions were paid for moving poor-quality bonds off on unwary customers, a fact of which the customers were kept unaware. One is reminded of the case of the now-defunct Lincoln Savings and Loan Company, which sold a good many non-government-insured investments to elderly customers, while allowing the customers to believe that they were insured. Many lost their life savings.

The corporate case of Salomon Brothers also illustrates how unethical practices diffuse through an industry. The salespeople who successfully foisted bonds off on customers made a good deal of money for the corporation, with two consequences. First, the status hierarchy within the organization was reordered. Those individuals were rewarded with large bonuses, a signal that the corporation approved their trading practices, and others in the corporation vied for assignment to their departments. Since entry to the departments in which these practices went on was prestigious and likely to be highly profitable, newcomers were easily socialized into these ways. Newcomers went along with the attitudes professed and the practices employed or faced the threat of rejection and expulsion. The financial and psychological incentives for corruption were high.

A second consequence involved the spread of corruption to competing firms. Inevitably, word of Salomon's success got around in the small world of Wall Street. Many of the firm's major sales people were raided by other trading firms, who offered them astronomical salaries and bonuses in order to break into the areas that the Salomon staff had pioneered. That the migrants from Salomon Brothers took with them to their new firms the innovative financial instruments that they had invented was explicitly expected; that they also took with them their attitudes of scorn for the customer seems highly likely. In this way a single evil organization can produce a surplus of individuals who go on to replicate the organization in other settings. Given that those who have been "processed" by the evil organization have been brought to a point where they use their intelligence in the service of their evil actions, the replicated organizations can be counted on to transcend whatever local obstacles stand in the way of reproducing the results of the original organization.

The realization that evildoing organizations have the capacity for self-replication provides part of the explanation for one of the facts that so bewilder us about corporate corruption: why so many individuals are willing to participate in a corporation's immoral activities. One answer is that individuals in organizations are "trained" (an unfortunate use of this word) at different times, and those trained earlier train others, providing a multiplicative effect on the pool of available evildoers. They also carry their corruption to other firms. All this follows from what we know about normative socialization of individuals within organizations. It is the task of the individual, when entering an organization, to catch on to the real operating practices and rules of the organization, and this is a skill that most people acquire....

Questions

1. What is the process of a person becoming evil in a firm?
2. When does a person finally become evil in Darley's argument? Do you agree that at this point one is evil, or perhaps earlier? Explain your answer.
3. Why do you think that people often leave their ethics at the door to their place of employment and act with different (or no) ethics in business compared to their private life?

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Notes

1. John M. Darley, "How Organizations Socialize Individuals into Evildoing," in *Codes of Conduct: Behavioral Research into Business Ethics*, ed. David M. Messick and Ann E. Tenbrunsel. © 1996 Russell Sage Foundation, 112 East 64th Street, New York, N.Y. 10021. [Edited.]
 2. Braithwaite (1985) suggests that the term "organizational crime" is a more useful one, because it recognizes the similarity between the ways in which public organizations and corporations can offend.
 3. Note the complexities of speaking of an organization's "knowing." Knowing is a concept we apply to individuals, and its meaning loses precision when we extend it to organizations. When we are engaging in moral analysis, which is centrally an analysis of individual cognition, our thoughts become confused when we try to examine "the morality of organizations." While this idea cannot be fully developed here, two comments are in order. First, we are frequently forced to analyze the organization as individual by the "legal fiction" of the organization as individual. Second, the moral confusion engendered when we attempt to analyze an organization by the moral standards we use for individuals frequently works to the advantage of the organization that is doing harm.
 - * Editor's Note: Responsibility requires knowledge; however, "not knowing" is not sufficient for excusing responsibility. "Ignorance of the law is no excuse." Not being able to obtain knowledge would be sufficient.
 4. One of the arguments for an aggressive product liability recovery system, pursued by contingency-compensated lawyers, is that it lessens the utility of strategic ignorance for the corporation. If the corporation is going to be hit with large punitive damage awards, then the sooner it can discover that it is incurring this liability the sooner it can cease to incur it.
 5. This would not be true of corporations making products in which the possibility of danger is generally known to be present. Makers of prescription drugs are the paradigmatic example. They should have in place routine systems to collect, process, and analyze information about product safety—side effects, in their terms. From an unsystematic scanning of newspaper reports on the topic, I am not greatly impressed by their efficiency.
 6. This is the problem that I have found with most books on these acts of corporate malfeasance. Naturally they are written after the fact, by investigative reporters who are so horrified at the outcome that they tend to assume that the major actors in bringing it about begin as evildoers. They thus miss the process that transforms ordinary people into evildoers.
 7. Lawyers and insurance companies play an important role in this process. Corporate leaders regard tort lawyers and personal injury lawyers as devils waiting to pounce on innocent corporate mistakes, extracting huge sums for pitiable plaintiffs. Thus they are sometimes led to deny product liability to avoid providing ammunition for legal suits. "May 24, 1974. In an internal progress report for the Dalkon Shield, Roger Tuttle (lawyer) is quoted as being opposed to removing the Shield from the market because such an action would be a 'confession of liability'" (Perry and Dawson 1985). As I understand it, those reviewing the evidence for the existence of huge settlements find them not so huge, generally reduced on appeal, and not unreasonable as a source of punitive damages on corporations whose mistakes were repeated and not at all innocent.
- Lawyers participate at several other nodes in corporate decision processes after harm has been alleged. First, they counsel the corporation about how to deal with possible admissions about the

harm done. The content of their counsel would be hard to study systematically; there are cases in which the advice has been to stonewall. Second, they counsel insurance companies that may be the eventual payers of claims on the manufacturing corporation. In that role, too, their advice is

sometimes less than morally admirable. In the Dalkon Shield case, lawyers for both the Robins Company and Aetna, their insurers, advised denial and delay and worked the court system to produce delay (Mintz 1985).